

failed to administer property tax and octroi levies, (ii) could not maximise revenue from potential sources, and (iii) have failed to raise revenue from user charges.

Check Your Progress 2

1. Enumerate, in brief, the objectives of reforms in state finances.

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2. Mention in brief the results of measures undertaken to bring about reforms in state finances.

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3. Discuss in brief the state of local finance in India.

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11.6 INDIA'S TAX STRUCTURE

The Indian tax structure, like in any other country, has developed in response to many influences - social, political and economic. In analysing the tax structure, it is therefore useful to first of all note the properties of an ideal tax structure, which are as follows:

- i) The distribution of tax burden should be **progressive**.
- ii) The tax structure should facilitate the use of fiscal policy for achieving **stabilisation** and **growth** objectives.
- iii) The tax structure should improve **efficiency of the market** rather than distort it.
- iv) Tax policy should be **easy to implement administratively** with a low cost of collection of taxes.

11.6.1 Main Aspects of India's Tax Structure

The principal aspects of India's tax structure can be briefly enumerated as follows:

1. Increasing importance of tax revenue: The tax revenue collected both by the Central and state Governments have increased from Rs. 460 crore in 1951-52 to Rs. 10,17,107 crore in 2008-09 registering an average annual growth of 13.9 percent (over the 59 years period). There has thus been a significant increase in tax revenue. However, looked at another way, the tax revenue which formed 88.6 percent of the total revenue receipts in 1951-52 declined to 84.1 percent in 2008-09. Two possible inferences that can be drawn from these figures are:

- a) The Central and State governments have been relying less on tax revenue to finance their expenditure; or
- b) Revenue from non-tax sources has been increasing at a faster rate.

The second of the above two inferences looks more plausible because, as noted above, the amount of taxes collected by the Central and State governments have risen appreciably over the years. Further, as stated below, the tax revenue as a percentage of national income has also been consistently rising.

2. Tax revenue as a percentage of national income: The total tax revenue as a percentage of GDP, has increased from 6.7% in 1950-51 to 19.2% in 2008-09. Although this is a good growth, this can be contrasted to the tax GDP ratio of developed countries which ranges between 25 and 45 percent. Again, while it is likely to give the impression that our tax effort is relatively low, it should not be ignored that in a low-income country like India, a tax GDP ratio of about 20 percent imposes quite a heavy burden on the majority of population. To understand this, we need to take a look at the 'structure of taxes' which is outlined below.

3. Structure of Taxes: These are classified into two types, viz. (i) direct taxes and (ii) indirect taxes. Direct taxes include taxes on income and property, whereas indirect taxes cover taxes on commodities and services. Important direct taxes are income tax, corporate tax and wealth tax. Important examples of indirect tax are VAT, service tax, excise duties, import duties, etc. Over the years, India's tax structure had come to rely more on indirect taxation. The underlying rationale was that since it is difficult to reach all the individuals, the alternative of pursuing a broad based indirect tax is preferable. However, following measures initiated in the direction of rationalisation and simplification of the tax structure, there has been a decline in the proportion of indirect taxes in the country. The trend has revealed that lower tax rates are compatible with higher tax realisation, given better tax administration and compliance.

4. **Shift in Relative Importance of Taxes:** As a consequence of the fact that indirect taxation had been increasing till the onset of 1990s, there occurred a shift in the relative importance of different taxes. For instance, corporate and income taxes which were the major source of the Union revenue during early 1950s, yielded place to excise duties and customs duties. Similarly, in the State tax structure, sales tax replaced land revenue as the major source of state revenue. The increasing importance of excise revenue and sales tax reflected the favourable changes in the economy following the progress on industrialisation and export promotion fronts. Other contributory factors for the relative shift in tax structure are: (i) the rise in domestic production and prices and (ii) extension of the tax coverage. While these developments took place up to the 1980s, with the onset of the reform in the 1990s, the relative importance of different taxes has been undergoing changes once again. For instance, the significance of personal income tax and corporate tax have been on the rise, whereas that of the customs and excise duties are on the decline.
5. **Progressive Tax Rate Structure:** The tax structure has been designed in such a manner that all *relevant ability indices* are considered. In particular, the direct tax structure has been made progressive by ensuring that as the base grows the yield will also increase. There has, therefore, been a gradual move towards presumptive methods of taxation in which factors like: (i) emergence of a service oriented economy, (ii) proliferation of small businesses, (iii) rapid industrialisation, (iv) increase in the number of taxpayers and, above all, (v) the need to device ways and means which could ensure revenue flows without much strain on the administrative set up are given due recognition. In the field of indirect taxes, on the other hand, duties have been so levied that commodities which are consumed by the relatively well-to-do classes are taxed more.

Taxation has thus been used as one of the main instruments to achieve the different socio-economic objectives of the country.

11.6.2 Evaluation of the Tax System

Evaluation of Indian tax system can be made along the following four criteria which are necessary to sub-serve the objectives of planned economic development: (1) adequacy and productivity, (2) efficiency, (3) equity, and (4) certainty.

1. **Adequacy and productivity:** Contrary to the earlier phase, tax system has exhibited a good deal of buoyancy in recent years. The tax revenue has been continuously increasing along with an increase in national income. However, the increase in tax revenue has not been adequate enough to meet the growing requirements of the developing economy.
2. **Efficiency:** Indian tax system falls short of the criterion of efficiency.

On account of complicated laws and rapid changes in their provisions, the tax system has lost the qualities of simplicity and certainty. As a result, on the one hand, this has led to massive tax evasion and avoidance. This has generated massive black money which, in turn, has given rise to serious distortions in the economic and socio-political set-up. On the other, the taxpayers have to incur high costs in paying up taxes.

3. **Equity:** Our tax system also falls short of the criterion of equity. Although our direct taxes are highly progressive, undue reliance on indirect taxes has more than counter-balanced that effect. Leaving agricultural income out of the tax net has been a source of additional inequity. Likewise, the proliferating unorganised industrial sector is providing complete tax haven.
4. **Certainty:** The scheme of taxes in India has been considerably fluctuating, resulting in frequent tampering with tax exemptions, incentives and concessions leading to uncertainty. Even the goals of taxation have been changing. For instance, at one time the goal was to have a large number of taxes, so as to widen the tax base, whereas currently, the goal is to reduce the multiplicity of taxes and duplicity of the laws. Again, at one stage, indirect taxes on commodity inputs were not only levied more but also extended widely. Presently, however, the goal of indirect taxes is to avoid the cascading effects of taxes. A more fundamental change in the tax perspective is the emphasis in the recent years on thrift, productivity and wealth accumulation as compared to the almost single most important goal of 'avoidance of concentration of income and wealth' pursued in earlier years. Adhocism pervades the sector of corporate taxation also. Although the reasons behind the changes are quite often laudable, the policy of frequent and sudden changes in taxes ought to give way to certainty so as to have stability in the tax administration system.

In short, many provisions in the tax laws have become redundant and need to be in tandem with the liberalised economic policies. In the current scenario, as suggested by Raja J. Chelliah, India's tax structure should be based on three cardinal principles; the tax system should be simple, moderate and fair. (For tax reforms in India, readers are guided to unit-12 of the course).

Check Your Progress 3

1. Enumerate in brief the salient features of Indian tax structure.

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2. Write a note on the structure of taxes in the Indian taxation system.

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3. Make a critical assessment, in brief, of India's tax structure.

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11.7 GROWTH OF PUBLIC EXPENDITURE IN INDIA

As stated earlier, India has a federal system of finance in which duties and functions of the central and state governments have been clearly distinguished. The constituents of the federal structure have been empowered to incur expenditure on the functions falling under their purview.

An analysis of the growth of public expenditure can be properly done under two headings: (i) size, and (ii) classification.

11.7.1 Size of Public Expenditure

The size of public expenditure in India i.e. the total expenditure of the central and state governments has grown from Rs. 983 crores in 1950-51 to Rs. 14,85,535 crore in 2008-09 or at an average annual growth rate of 13.5%. The growth of public expenditure has been at almost the same pace as that of revenue generation which also had grown at an average annual rate of 13.9% per annum over the period. Of course, all of this increase cannot be regarded as real, as a good part of it would be due to the rise in prices. But even if an adjustment is made for the rise in prices the fact remains that there has been a phenomenal increase in public expenditure. This fact can also be brought out in another way i.e. by relating public expenditure to GDP. Whereas GDP has increased at an annual average rate of about 4.2 percent during this period, the proportion of public expenditure in national income has gone up from 11.1 percent in 1950-51 to 28.0 percent in 2008-09. Compared to an average of 40 percent in public expenditure in industrialised market economies, once again, India's proportion of public expenditure is still low.